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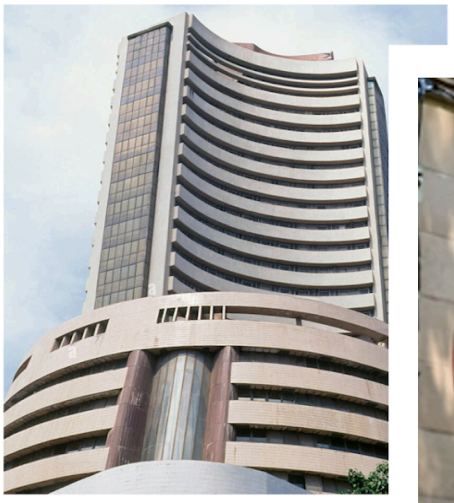
General Knowledge

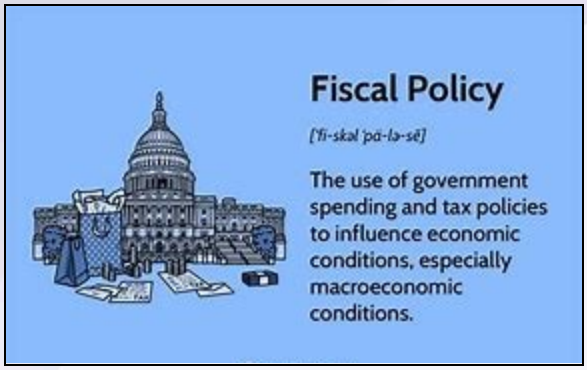
Indian Economy

STUDY NOTES

Fiscal Policy



Fiscal Policy



Fiscal Policy

- Fiscal policy refers to the use of **government revenue (mainly taxes) and expenditure** to influence the economy.
- It is a tool used by the government to achieve economic objectives like growth, stability, and reducing inequality.
- Fiscal policy involves two key components:
  - Government Revenue (mainly taxes)
  - Government Expenditure (on infrastructure, social welfare, defence, etc.)

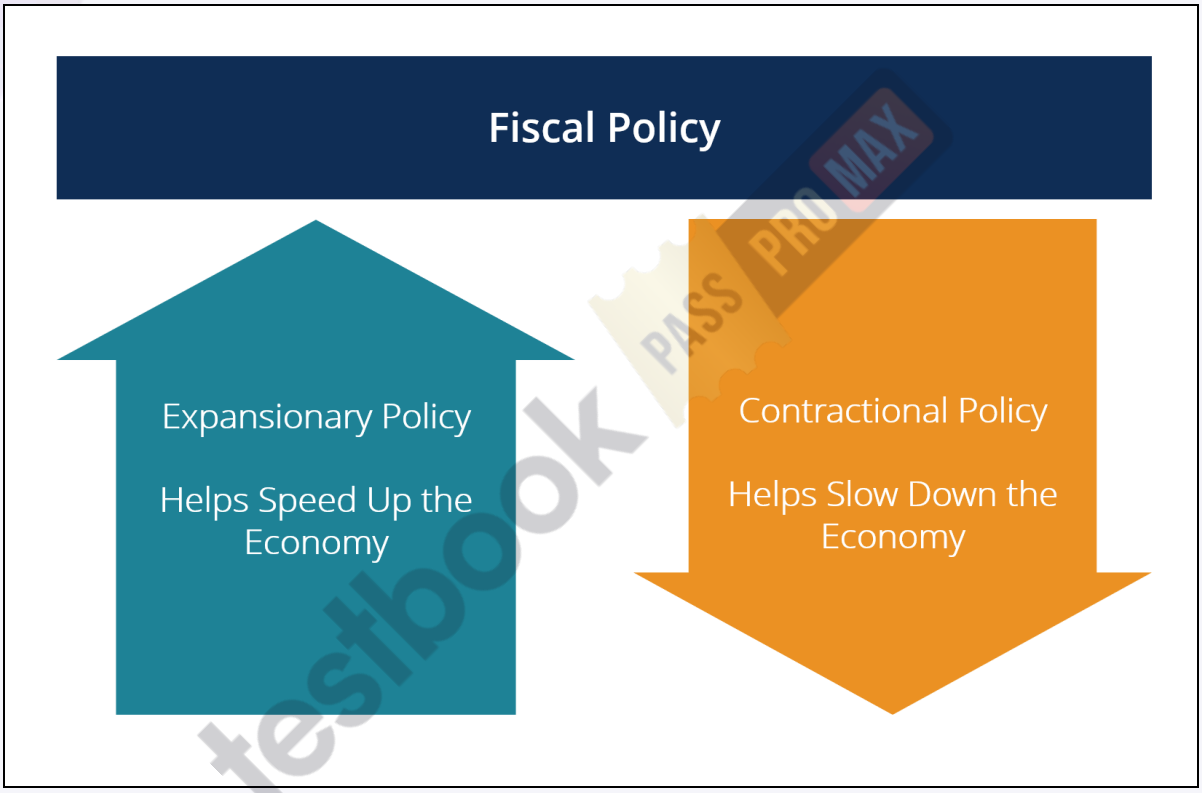
Objectives of Fiscal Policy

- **Economic Growth:** Stimulate investment and consumption to promote growth.
- **Price Stability:** Control inflation and avoid excessive fluctuations in prices.
- **Employment Generation:** Create more jobs through public spending on infrastructure and social programs.
- **Balanced Regional Development:** Ensure that underdeveloped regions receive attention and investment.
- **Reduction of Income Inequality:** Redistributes wealth through taxation and welfare schemes.
- **Economic Stability:** Prevent economic shocks and ensure smooth economic cycles.

Types of Fiscal Policy

Expansionary Fiscal Policy:

- Used during a recession or economic slowdown.
- Involves increasing government spending or reducing taxes to boost demand.
- Example: PM Garib Kalyan Yojana during COVID-19 provided relief packages and increased spending to revive the economy.



Contractionary Fiscal Policy:

- Used to control inflation.
- Involves reducing government spending or increasing taxes.
- Example: The government may increase excise duties or reduce public expenditure to control demand and prevent overheating of the economy.

Business Cycle Fiscal Policy	Boom	Recession	Outcome
Pro-Cyclical	Expenditure increases Tax decreases	Expenditure decreases Tax increases	Deepens recessions and amplifies expansions, thereby increasing fluctuations in the business cycles
Counter-Cyclical	Expenditure decreases Tax increases	Expenditure increases Tax decreases	Softens the recession and moderates the expansions, thereby decreasing fluctuations in the business cycle

Fiscal Consolidation policy:

- It is an effort by the Government to bring down the fiscal deficit. It is an effort to reduce public debt, raise revenues and bring down wasteful expenses

Instruments of Fiscal Policy

Taxation:

The process of collecting money from individuals and corporations. Types of taxes:

- **Direct Taxes** (like Income Tax, Corporate Tax)
- **Indirect Taxes** (like GST, Customs Duty)

Government Spending:

- Investment in infrastructure, education, healthcare, defence, etc.

Public Borrowing:

- If revenue from taxes is not enough to meet expenditures, the government borrows by issuing bonds or taking loans from international organizations like the World Bank or IMF.

Deficit Financing:

- When the government spends more than it earns, leading to a fiscal deficit. The gap is often covered through borrowing or printing more money.

Types of Deficits

- **Fiscal Deficit**: The total expenditure of the government exceeds its total revenue, excluding borrowings.
  - **Fiscal Deficit Formula**: Fiscal Deficit = Total Expenditure - Total Revenue (excluding borrowings)
- **Revenue Deficit**: When the government's revenue expenditure exceeds revenue receipts.
  - **Revenue Deficit Formula**: Revenue Deficit = Revenue Expenditure - Revenue Receipts
- **Primary Deficit**: Fiscal deficit minus interest payments on previous borrowings.
  - **Primary Deficit Formula**: Primary Deficit = Fiscal Deficit - Interest Payments

Importance of Fiscal Responsibility

- The **Fiscal Responsibility and Budget Management (FRBM) Act** was enacted to ensure that the government maintains fiscal discipline, reducing fiscal and revenue deficits.
- **FRBM Act Targets**:
  - Keep fiscal deficit to a manageable level (below 3% of GDP).
  - Eliminate revenue deficit and maintain balanced budgets.
  - To ensure inter-generational equity (equality)
  - Long-term macroeconomic stability
- The central government shall
  - take appropriate measures to limit the fiscal deficit up to 3% per cent of GDP by 31st March 2021

- endeavor to ensure that- The general government debt (equal to central govt. debt plus state govt. debt) does not exceed 60 per cent of GDP by 2024-25 The central government debt does not exceed **40 per cent of GDP by 2024-25**
- not give additional guarantees (the central government sometimes give guarantees for loans raised by State governments and PSUs)with respect to any loan on the security of the Consolidated Fund of India in excess of one-half per cent of GDP in any financial year
- endeavour to ensure that the fiscal targets specified in (a) and (b) above are not exceeded after stipulated target dates

Role of the Finance Commission

- The **Finance Commission** of India recommends how revenue should be divided between the Union and the States.
- It also advises on:
  - **Tax Devolution**: How much share of Union taxes goes to the States.
  - **Grants-in-Aid**: Funds provided to States to support specific welfare schemes.

Fiscal Policy vs Monetary Policy

Fiscal Policy	Monetary Policy
Managed by the Government **(Ministry of Finance)**	Managed by the **RBI** (Reserve Bank of India)
uses taxes and government spending to influence the economy	uses interest rates and control of money supply to stabilize **inflation** and ensure economic stability

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